

WORKING CAPITAL FINANCE

Barkat & Co. structures robust Working Capital Finance including cash credit (CC), overdraft (OD), and bill discounting facilities to maintain seamless day-to-day operations and inventory cycles.

CORE SERVICES & SCOPE OF WORK

Our professional advisory services encompass a complete spectrum of regulatory and planning offerings:

- **Working Capital Cycle Audit:** Analyzing inventory holding periods, receivable collection cycles, and payable credit terms.
- **Facility Structuring:** Setting up Cash Credit (CC), Overdraft (OD), Letter of Credit (LC), and Bank Guarantee (BG) limits.
- **Bill & Invoice Discounting:** Accelerating cash inflows by discounting trade receivables and purchase orders.
- **Drawing Power Optimization:** Maximizing drawing power calculations based on current stock and book debt statements.

KEY BENEFITS FOR ENTERPRISES

ADVANTAGE	OPERATIONAL IMPACT
Operational Continuity	Eliminates cash crunches, ensuring smooth salary disbursements, raw material purchases, and overhead payments.
Inventory Flexibility	Allows businesses to stockpile raw materials during favorable market pricing windows.
Trade Growth	Facilitates issuance of LCs and BGs to execute large domestic and international trade orders.

APPLICATION & ADVISORY PROCESS

- **Stock & Debt Audit:** Reviewing monthly stock statements and aging debtor reports.
- **Limit Sanction:** Negotiating working capital limits and interest rates with commercial banks.
- **Collateral Valuation:** Securing hypothecation charges on current assets and book debts.
- **Facility Activation:** Establishing revolving credit lines and drawdown capabilities.

FREQUENTLY ASKED QUESTIONS (FAQS)

1. What is the difference between Cash Credit (CC) and Overdraft (OD)?

CC is a revolving credit facility secured against current assets specifically for business operations, while OD is a flexible borrowing line linked to a current account.

2. How is drawing power calculated?

Drawing power is calculated by taking the value of eligible inventory and trade receivables minus prescribed statutory margins.

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